

Multiple Choice (10 marks)

1. Stagflation most likely results from
 - (a) decreasing AD with constant SRAS.
 - (b) a decrease in AD with increasing SRAS.
 - (c) decreasing SRAS with constant AD.
 - (d) increasing both AD and SRAS.
 - (e) a decrease in AD and an increase in SRAS.
2. What main functions are performed in the economy by commercial banks ?
 - (a) Conducting monetary policy for the government
 - (b) Offering educational services on finance
 - (c) Investing in securities
 - (d) Issuing credit cards
 - (e) Setting interest rates for the entire economy
3. Whether imposed for protective purposes or to raise revenue, tariffs can be imposed in two different ways. Define these two methods of imposing tariffs, and give an example of each.
 - (a) Per unit and per category
 - (b) Ad valorem and specific
 - (c) Percentage and fixed fee
 - (d) Comprehensive and selective
 - (e) Fixed rate and variable rate
4. Which of the following is true about a price floor?
 - (a) It will be located in the middle of the equilibrium price.
 - (b) It will be located below the equilibrium price.
 - (c) It will be located above the equilibrium price.
 - (d) It will be located above the market price.
 - (e) It is used when the equilibrium price is too high.
5. Which of the following would lead to a decrease in the money supply?
 - (a) The FED lowers the discount rate.
 - (b) The FED sells government securities in the secondary market.
 - (c) The federal government spends less money.
 - (d) The FED lowers reserve requirements.

True / False (10 marks)

Answer True or False

6. True or False: Per capita figures are primarily used to track the number of businesses within an economy.
7. True or False: A lump-sum tax reducing disposable income by 50 billion will decrease NNP by 200 billion.
8. True or False: An inferior good can experience a decrease in quantity demanded when the income effect outweighs the substitution effect.
9. True or False: Labor is a scarce resource that households furnish and businesses demand in the circular flow model.
10. True or False: A nation that subsidizes education for all citizens will face reduced labor productivity and economic growth.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the implications of Mr. Balfour's investment choices between tax-free municipal bonds and a standard savings account, considering his marginal tax rate of 30%. Which option is financially advantageous and why?
12. Discuss the major microeconomic challenges that affected the effectiveness of the Soviet planned economy, focusing on consumer satisfaction, quality versus quantity, and technological resistance.

End of Paper